

Tariffs Test Confidence



Donald Trump has built much of his political persona on the “art of the deal.” Yet, in his dealings with India, the US President appears to have mistaken India’s quiet resolve for weakness—a miscalculation fraught with consequences for the broader US-India relationship, not just bilateral trade.

While most nations, save China, have at some point bent to Trump’s tariff diktats, India is holding its ground. The European Union, Britain, Japan—even corporate America with its trillion-dollar balance sheets—have all played along, offering tribute to the “Emperor of Washington, D.C.” Even a bankrupt country like Pakistan is offering the mineral riches of Balochistan to ingratiate itself with Trump.

New Delhi’s approach has been markedly different. From the outset, India resisted provocation, focusing on substance rather than theatre. Commerce Minister Piyush Goyal and the negotiating officials kept the process disciplined, refusing to compromise on core concerns. Prime Minister Narendra Modi’s recent public defence of the interests of Indian farmers merely reinforced the position adopted from day one.

Trump and his trade hawks began their tariff war to curb China’s rise but are yet to penalise Beijing for its purchases of Russian crude. India, by contrast, avoided public spats or hasty trade-offs, even as it quietly cut back on oil imports from Moscow.

The real miscalculation then lies in Washington underestimating India’s resilience and Modi’s determination in resisting any diktats.

As *Surabhi* writes in this issue’s cover story, such resilience comes against a backdrop of an already fragile business sentiment. The latest BT-C Fore Business Confidence Survey, conducted between July 10 and 25, paints a picture of guarded optimism at best.

The index, based on responses from 500 CEOs and CFOs, edged up to 50.2 in the April-June quarter, the second-lowest reading in 14 quarters and below pre-pandemic levels. While any number above 50 indicates positive sentiment, the recovery remains tepid.

India’s macroeconomic outlook points to growth of 6-6.5% this fiscal, but caution pervades boardrooms as Trump’s tariff escalation threatens to dampen sentiment and disrupt business. The 50% duty will squeeze exporters’ margins, though Minister Goyal remains confident that India’s exports this year will be above last year’s levels (*see interview inside*).

The combination of fragile domestic confidence and unprecedented external trade headwinds creates a testing environment. India’s refusal to yield on principle may serve its long-term strategic interests, but in the short term, corporate India must find ways to maintain confidence while navigating choppy waters.

Elsewhere in the issue, we examine the challenge of turning around Air India. As *K. Giriprakash* writes, Tata Sons will need to inject massive amounts of capital for years to restore full public confidence in the carrier.

From boardrooms to boarding gates, resilience will be put on trial. **BT**

Siddharth

siddharth.zarabi@aahtak.com

@sazarabi

Business Today

<http://www.businesstoday.in>

Chairman & Editor-in-Chief: Aroon Purie
Vice Chairperson & Executive Editor-in-Chief: Kalli Purie
Group Chief Executive Officer: Dinesh Bhatia
Chief Operating Officer: Alok Nair
Group Editor: Siddharth Zarabi
Chief AI Officer, Group Creative Editor: Nilanjan Das
Group Photo Editor: Bhandeep Singh
Executive Editor: Krishna Gopalan
Executive Editor, BusinessToday.in: Arvin Vincent

Editor (Special Projects): Tina Edwin
Economy Editor: Surabhi
Senior Editor: Neetu Chandra Sharma

Associate Editor: Chetan Bhutani
Senior Assistant Editors: Palak Agarwal, Richa Sharma
Special Correspondent: Karishma Asoodani
Senior Correspondent: Riddhima Bhatnagar
Principal Correspondent: Aastha Chopra
Correspondent: Astha Oriel

RESEARCH
Chief of Research Bureau: Rahul Oberoi
Deputy Research Analyst: Prince Tyagi

COPY DESK
Senior Editor: Mahesh Jagota
Associate Editor: Vikram Gopal
Assistant Editors: Bitasta Basu, Kamalika Ghosh

PHOTOGRAPHY
Deputy Chief Photographer: Rajwant Singh Rawat
Senior Photographer: Hardik Chhabra
Photo Coordinator: Vidushi Mehrotra

ART
Art Director: Rahul Sharma
Associate Art Director: Raj Verma
Assistant Art Director: Kaushik Mukherjee
Senior Designer: Uma Shankar

EVENTS
Senior Manager: Sourabh Dutta
PRODUCTION
Chief of Production: Harish Aggarwal
Deputy Production: Narendra Singh
Production Coordinator: Ayeekam David Meitei

LIBRARY
Assistant Librarian: Satbir Singh
Executive Secretary: Jyoti Kochhar

BUSINESS TEAM
Associate Publisher: Siddhartha Chatterjee
Branch Head-Bangalore: Mamta Vasanth
Assistant General Manager: Girish C
Assistant General Manager (Mumbai): Rohit Subramanian
Assistant General Manager (Chennai): P. Varunam
Chief Manager (Government): Avnish Kumar

AD OPS
Deputy General Manager: Avinash Karkera
Marketing: Vivek Malhotra, Group Chief Marketing Officer
Newsstand Sales: Deepak Bhatt, National Head-Distribution; Rajeev Gandhi, General Manager (North); Yogesh Godhanlal Gautam, Regional Sales Manager (West)

Vol. 34, No. 18, for the fortnight August 18, 2025 to August 31, 2025. Released on August 18, 2025.

● Editorial Office: India Today Mediaplex, FC 8, Sector 16/A, Film City, Noida-201301; Tel: 0120-4807100; Fax: 0120-4807150 ● Advertising Office (Gurgaon): A1-A2, Enkay Centre, Ground Floor, V.N. Commercial Complex, Udyog Vihar, Phase 5, Gurgaon-122001; Tel: 0124-4948400; Fax: 0124-4030919; Mumbai: 1201, 12th Floor, Tower 2 A, One World Center (Jupiter Mills), S.B. Marg, Lower Parel (West), Mumbai-400013; Tel: 022-69193355; Fax: 022-66063226; Chennai: 5th Floor, Main Building No. 443, Guna Complex, Anna Salai, Teynampet, Chennai-600018; Tel: 044-28476525; Fax: 044-24361942; Bangalore: 202-204 Richmond Towers, 2nd Floor, 12, Richmond Road, Bangalore-560025; Tel: 080-22212448, 080-30374106; Fax: 080-22218335; Kolkata: 52, J.L. Road, 4th floor, Kolkata-700071; Tel: 033-22625398, 033-22627726, 033-22621922; Fax: 033-22627254; Hyderabad: 6-3-885/7/B, Raj Bhawan Road, Somajiguda, Hyderabad-500082; Tel: 040-23401657, 040-23400479; Ahmedabad: 2nd Floor, 2C, Surya Rath Building, Behind White House, Panchwati, Off: C.G. Road, Ahmedabad-380006; Tel: 079-65603933, 079-65603929; Fax: 079-6565293; Kochi: Karakatt Road, Kochi-682016; Tel: 0484-2377057, 0484-2377058; Fax: 0484-370962 ● Subscriptions: For assistance contact Customer Care India Today Group, C-9, Sector-10, Noida (UP) - 201301. Email: wecare@intoday.com | Phone / Whatsapp: +91 8597 778 778 (Monday to Friday, 10 am-6 pm) ● Sales: General Manager Sales, Living Media India Ltd, C-9, Sector 10, Noida (U.P.) - 201301; Tel: 0120-4019500; Fax: 0120-4019664 ● 1998 Living Media India Ltd. All rights reserved throughout the world. Reproduction in any manner is prohibited. ● Printed & published by Manoj Sharma on behalf of Living Media India Limited. Printed at Thomson Press India Limited, 18-35, Milestone, Delhi-Mathura Road, Faridabad-121007, (Haryana). Published at F-26, First Floor, Connaught Place, New Delhi-110001. Editor: Siddharth Zarabi

● *Business Today* does not take responsibility for returning unsolicited publication material. All disputes are subject to the exclusive jurisdiction of competent courts and forums in Delhi/New Delhi only.



For reprint rights and syndication enquiries, contact syndications@intoday.com or call +91-120-4078000

www.syndicationtoday.in